Tentative Rulings for July 20, 2026
Department 6

To request oral argument, you must notify Judicial Secretary Crystal Marias at (760) 904-5722 and inform all other counsel no later than 4:30 p.m.

This court follows California Rules of Court, Rule 3.1308 (a) (1) for tentative rulings (see Riverside Superior Court Local Rule 3316). Tentative Rulings for each law & motion matter are posted on the Internet by 3:00 p.m. on the court day immediately before the hearing at Riverside Superior Court-Tentative Rulings.. If you do not have Internet access, you may obtain the tentative ruling by telephone at (760) 904-5722.

To request oral argument, no later than 4:30 p.m. on the court day before the hearing you must (1) notify the judicial secretary for Department 6 at (760) 904-5722 and (2) inform all other parties of the request and of their need to appear remotely, as stated below. If no request for oral argument is made by 4:30 p.m., the tentative ruling **will become the final ruling** on the matter effective the date of the hearing. **UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.**

For information and instructions on remote appearances via **ZOOM**, visit the court's website at Riverside Superior Court-Remote Appearances

You may also make a Telephonic Appearance: On the day of the hearing, call into one of the below listed phone numbers, and input the meeting number (followed by #):

- Call-in Numbers: 1-833-568-8864 (Toll Free), 1-669-254-5252, 1-669-216-1590, 1-551-285-1373 or 1-646-828-7666
- Meeting Number: 161 830 3643

Please **MUTE** your phone until your case is called and it is your turn to speak. It is important to note that you must call fifteen (15) minutes prior to the scheduled hearing time to check in or there may be a delay in your case being heard.

Riverside Superior Court provides official court reporters for hearings on law and motion matters only for litigants who have been granted fee waivers and only upon their timely request. (See General Administrative Order No. 2021-19-1) Other parties desiring a record of the hearing must retain a reporter pro tempore.

1.

CASE #	CASE NAME	HEARING NAME
CVRI2403534	WEATHERS vs PALMER	MOTION TO SET ASIDE DEFAULT JUDGMENT

Tentative Ruling:

The Motion to Set Aside the Dismissal as to Defendants, JUNELYN MELON PALMER, JI LIPARDO, and GARY PALMER is granted. The Court confirms that the Proof of Service for each named Defendant was filed with the Court on 3/5/2026, four days prior to the Court dismissing the matter for Failing to file a Proof of Service on all Defendants pursuant to CRC 3.110(b)&(f). As for the remaining Defendants, HAKEEM ODULATE and AYODALE ODULATE the matter remains dismissed for failure to file a proof of service.

Defendants to file a responsive pleading.

The Court sets the matter for a Case Management Conference on 9/22/2026 at 8:30 a.m. in Dept. 6.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2507445	MADRID vs TOYOTA MOTOR SALES U.S.A. INC.	DEMURRER ON COMPLAINT
CVRI2507445	MADRID vs TOYOTA MOTOR SALES U.S.A. INC.	MOTION TO STRIKE COMPLAINT

Tentative Ruling:

Moving party: Defendant Toyota Motor Sales, U.S.A., Inc. et al.
Responding party: Plaintiffs Anthony Madrid and Loreto Madrid

This lemon law action arises from Plaintiffs' Anthony Madrid and Loreto Madrid May 27, 2022 purchase of a 2022 Toyota Tundra (the "Vehicle") for which Defendant Toyota Motor Sales, U.S.A., Inc. (or "Toyota") issued an express warranty. Plaintiffs allege the Vehicle contains defects and nonconformities that manifested during the applicable express warranty period. The Complaint alleges Toyota was aware and knew of the defects prior to Plaintiff acquiring the Vehicle but failed to disclose this fact to Plaintiff at the time of the lease and thereafter. Ford has failed to replace the Vehicle or promptly make restitution.

The operative Complaint asserts the following causes of action:

1. Violation of Subdivision (d) of Civil Code section 1793.2

2. Violation of Subdivision (b) of Civil Code section 1793.2
3. Violation of Subdivision (a)(3) of Civil Code section 1793.2
4. Breach of the Implied Warranty of Merchantability
5. Negligent Repair (against Defendant Larry H Miller Toyota Corona ["Dealership"])
6. Fraudulent Inducement – Concealment

Toyota now demurs to the **sixth cause of action** on the grounds of failure to plead fraud to the requisite specificity; failure to establish it owed Plaintiffs a duty to disclose; failure to allege Toyota had actual exclusive pre-sale knowledge of the alleged defect in the Vehicle; failure to allege any actionable concealment or partial representation by Toyota; and the Economic Loss Rule. Toyota asserts the Complaint consists entirely of broad conclusions, devoid of facts.

In opposition, Plaintiffs argue the Complaint contains all allegations required to show a prima facie fraud case, in accordance with *Dhital v. Nissan N. Am., Inc.* (2022) 84 Cal.App.5th 828, which is binding and dispositive case law. Each of the alleged deficiencies Toyota questions are in fact contained in the Complaint. Alternatively, Plaintiffs seek leave to amend.

A reply was due on July 13, 2026 (CCP 1005). The Reply was filed on 7/14/2026, four court days prior to the hearing on this motion and therefore, untimely.

<u>ANALYSIS</u>

I. Meet & Confer

Before filing a demurrer, the moving party **shall** meet and confer, **at least 5 days before a responsive pleading is** due, in person, by telephone, or video conference, with the party who filed the pleading for purposes of seeing if a resolution can be had to the objections raised in the demurrer motion. (Code Civ. Proc., §§430.41, subd. (a), 435.5, subds. (a)(1)-(2).) The moving party must file a declaration stating the means by which the parties met and conferred, or the responding party failed to respond or meet and confer in good faith. (Code Civ. Proc., § 430.41, subd. (a)(3).) The parties complied. (Ely Decl., ¶2.)

II. Legal Standard – Demurrer

The function of a demurrer is to test the legal sufficiency of a pleading, but not the truthfulness of the allegations. (*Donabedian v. Mercury Ins. Co.* (20040 116 Cal.App.4th 968, 994.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Id.*) Demurrers for failure to state a cause of action are commonly referred to as "general" demurrers. (*McKenney v. Purepac Pharmaceutical Co.* (2008) 167 Cal.App.4th 72, 77.) All other grounds for demurrers are referred to as "special demurrers." (*Collins v. Rocha* (1972) 7 Cal.3d 232, 239.)

III. Merits – 6th Cause of Action: Fraudulent Inducement – Concealment

a. Heightened Pleading Requirement

Concealment requires: "(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage." (*Marketing West, Inc. v. Sanyo Fisher (USA) Corp.* (1992) 6 Cal.App.4th 603, 612-613.)

Although fraud claims require a heightened pleading standard, it is not practical to allege facts showing how, when, and by what means something did not happen. (*Alfaro v. Community Housing Improvement System & Planning Assn.* (2009) 171 Cal.App.4th 1356, 1384.) However, if the concealment is based on providing false or incomplete statements, the pleadings must at least set forth the substance of the statements at issue. (*Ibid.*) Additionally, the specificity requirement of fraud is "relaxed when it is apparent from the allegations that the defendant necessarily possesses knowledge of the facts." (*Quelimane Co. v. Steward Title Guaranty Co.* (1998) 19 Cal.4th 26, 27.)

The case of *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828 addressed the sufficiency of pleading fraudulent concealment in a lemon law case in the context of a demurrer. The California Supreme Court granted review pending *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, regarding the economic loss rule in concealment cases. After the Court issued its decision in *Rattagan,* the Court dismissed review. The court of appeals subsequently issued the remittitur, which disposed the case.

The *Dhital* court found that it was sufficient that plaintiffs alleged a transmission defect in numerous vehicles, including the plaintiff's, the defendant knew of the defect and the hazards they posed, defendant had exclusive knowledge of the defect and failed to disclose that information, defendant intended to deceive plaintiffs by concealing known defects, the plaintiffs would not have purchased the car if they had known of the defects, and they suffered damages on the sums paid to purchase the vehicle. (*Id.* at 844.) The manufacturer argued that there was no allegation of a buyer-seller relationship since the plaintiff had purchase the vehicle from a dealership, but the court found that an authorized dealership was an agent for purposes of demurrer. (*Id.*)

Here, the Complaint alleges the Vehicle had "[d]efects and nonconformities…including but not limited to, engine defects, transmission defects, electrical defects," (Compl., ¶12) and specifically a defective 3.4L engine (*id.* at ¶58); Toyota had exclusive knowledge of said defects through "pre-releasing testing data; early consumer complaints about the Engine Defect…; dealership repair orders; testing conducted in response to those complaints; and other internal sources of information" but "actively concealed the Engine Defect and failed to disclose this defect to Plaintiffs at the time of purchase" (*id.* at ¶57); Plaintiffs would not have purchased the Vehicle had they known of the defects (*id.* at ¶¶60, 66, 71); and Plaintiffs suffered damages as a result (*id.* at ¶80). This is sufficient for pleading purposes.

b. Transactional Relationship – Duty to Disclose

Toyota argues that Plaintiffs failed to allege sufficient facts to demonstrate a transactional relationship between the parties to give rise to a duty to disclose. It further argues providing a warranty does not create a duty to disclose, relying on *Ford Motor Warranty Cases* (2023) 89 Cal.App.5th 1324, 1329 ("*FMWC"*). However, *FMWC* is inapplicable here as it addressed a motion to compel arbitration, not a demurrer.

In general, a duty to disclose may arise from parties entering into **any kind of contractual** agreement. (*OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp.* (2007) 157 Cal.App.4th 835, 859, emphasis added.) "Suppression of a material fact is actionable fraud when there is a duty of disclosure, which may arise from a relationship between the parties, such as a buyer-seller relationship. [Citation.]" (*Dhital, supra,* 84 Cal.App.5th at 844.) "For purposes of duties to disclose, the California Supreme Court has defined a 'relationship' as a 'transaction' between the parties." (*Warner Constr. Corp. v. City of Los Angeles* (1970) 2 Cal.3d 285, 294.)

Here, the Complaint alleges Plaintiffs entered into a warranty contract with Toyota regarding the Vehicle. (Compl., ¶7.) Taking the allegation true for purposes of demurrer, Plaintiffs sufficiently alleged that the parties entered into a contractual arrangement to support that a transactional relationship existed to impose a duty of disclosure upon Toyota.

c. Economic Loss Rule

Toyota argues Plaintiffs allege no personal injury, no damage to other property, and no exposure to liability beyond the cost of the Vehicle, which are pure economic losses. Thus, under the economic loss rule, Plaintiffs' fraud claim is barred. This argument is unavailing.

In *Dhital, supra*, 84 Cal.App.5th 828, the court expressly found that the economic loss rule did not apply to the fraudulent inducement by concealment claim. The court stated:

> To hold, at the demurrer stage, that plaintiffs' fraud claim is barred by the economic loss rule, we would need to conclude, as Nissan urges us to do, that (1) despite the Supreme Court's statement in Robinson, there is no exception to the economic loss rule for fraudulent inducement claims (or at least no exception that encompasses the claim plaintiffs allege in the SAC), or (2) plaintiffs have not adequately pleaded a claim for fraudulent inducement under California law (a question we address in pt. II.C., post). We reject both arguments and conclude the economic loss rule does not bar plaintiffs' claim.

(*Id.* at 839.)

In *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 20-21, the California Supreme Court explained:

> [U]nder the economic loss rule, tort recovery for breach of a contract duty is generally barred [citations] unless two conditions are satisfied. A plaintiff must first demonstrate the defendant's injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. Second, the defendant's conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed.

The Court further stated:

> The guiding and distinguishing principle is this. If the alleged breach is based on a failure to perform as the contract provides, and the parties reasonably anticipated and allocated the risks associated with the breach, the cause of action will generally sound only in contract because a breach deprives an injured part of a benefit it bargained for. However, if the contract reveals the consequences were not reasonably contemplated when the contract was entered and the duty to avoid causing such a harm has an independent statutory or public policy basis, exclusive of the contract, tort liability may lie.

(*Id.* at 27.)

The Court repeated the public policy reason stated in *Robinson Helicopter, Inc. v. Dana Corp* (2004) 34 Cal.4th 979 supports holding fraud a deviation from usual business practice, and a plaintiff advances the public interest in punishing intentional misrepresentations. (*Rattagan, supra,* 17 Cal.5th at 30-34.) Therefore, a plaintiff may recover out-of-pocket damages in addition to benefit-of-the-bargain damages. (*Id.* at 33-34.) *Robinson* clarified that fraud was not an exception to the economic loss rule, but rather, the doctrine did not apply at all. (*Id.*) The Court reiterated that, "Broader tort liability only arises if a defendant violates an independent legal duty and the type of harm that ensues was not reasonably contemplated or accounted for by the contractual parties." (*Id.* at 37.)

Ultimately, the Court found that a plaintiff can assert an independent claim of fraudulent concealment in the performance of the contract. (*Id.* at 38.) However, the Court noted that Rattagan's claims were based on fraud committed during the contractual relationship but allegedly outside the parties' contractual rights and obligations. (*Id.* at 41, n. 12.) The Court stated as it had granted of *Dhital* regarding fraudulent inducement by concealment claims under the Act and declined to address the issues in *Rattagan*. (*Ibid.*)

Based on *Rattagan*, the economic loss rule does not bar Plaintiffs' claims, which arise out of the course of the contractual relationship discussed above. **The Court OVERRULES the demurrer.**

IV. Motion to Strike

Toyota also moves for an order striking the prayer for punitive damages, arguing the Complaint fails to allege any facts regarding the requisite elements of malice, fraud, or oppression to support a claim for punitive damages. Toyota points out because Plaintiffs' fraud claims fail as a matter of law, there is no viable tort to support punitive damages.

Conversely, Plaintiffs contend they sufficiently plead fraud and that Toyota acted with conscious disregard for the safety of others.

"[A] motion to strike is generally used to reach defects in a pleading which are not subject to demurrer." (*Pierson v. Sharp Memorial Hospital, Inc.* (1989) 216 Cal.App.3d 340, 342.) A party can bring a motion to strike any irrelevant, false, or improper matters inserted in a pleading. (Code Civ. Proc., § 436, subd. (a).) As with a demurrer, "[t]he grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice" or "based on matter of which the court may take judicial notice…" (Code Civ. Proc., § 436.)

As to the issue of punitive damages, Plaintiffs may recover exemplary or punitive damages where it is proven that "the defendant has been guilty of oppression, fraud or malice." (Civ. Code § 3294, subd. (a).) "Not only must there be circumstances of oppression, fraud or malice, but facts must be alleged in the pleading to support such a claim." (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166.) "When the plaintiff alleges an intentional wrong, a prayer for exemplary damages may be supported by pleading that the wrong was committed willfully or with a design to injure." (*G.D. Searle & Co. v. Superior Court* (1975) 49 Cal.App.3d 22, 29.) When the wrong is unintentional, however, a "conclusory characterization of defendant's conduct as intentional, willful and fraudulent is a patently insufficient statement of 'oppression, fraud, or malice, express or implied,' within the meaning of section 3294." (*Brosseau v. Jarrett* (1977) Cal.App.3d 864, 872.)

Here, as discussed under the demurrer analysis, Plaintiffs sufficiently plead a claim for fraudulent concealment. As such, **the Court DENIES the motion to strike.**